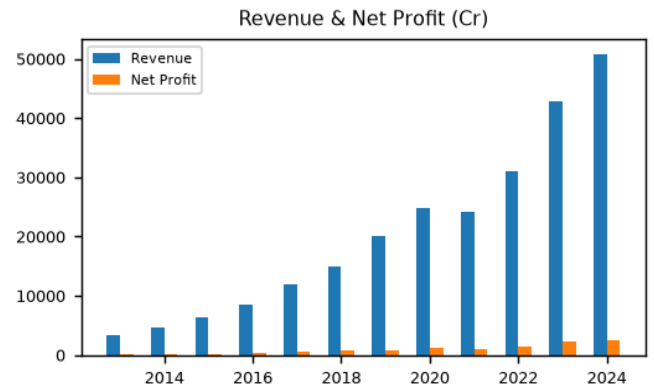
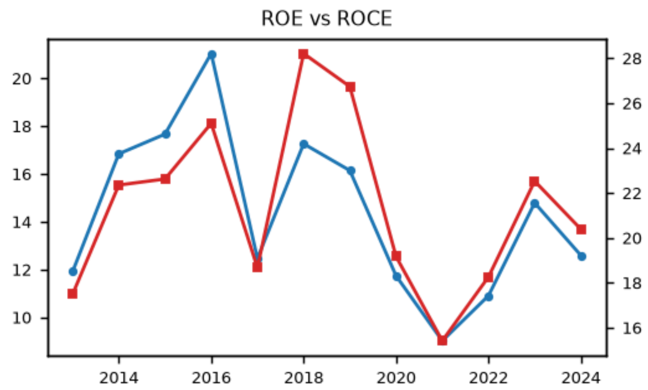
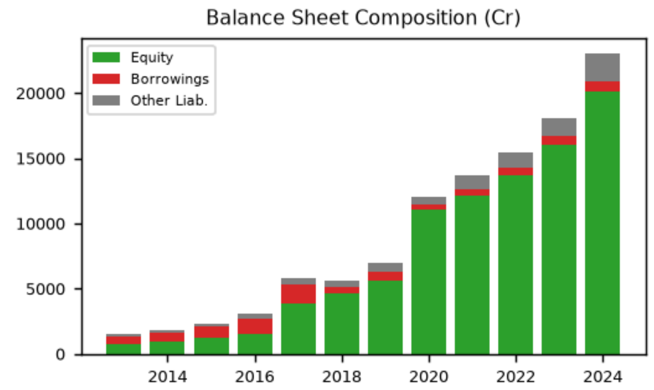
Avenue Supermarts Ltd (DMART)

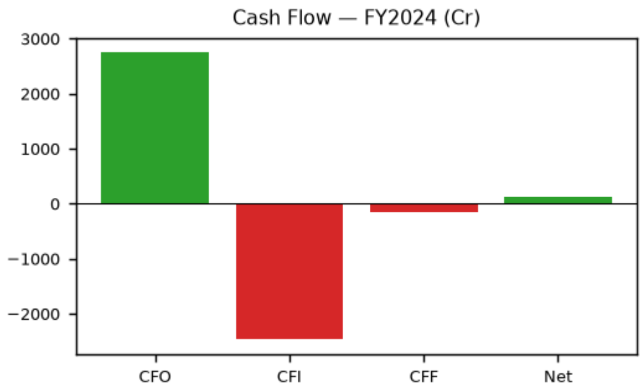
Consumer Discretionary · Fiscal Year 2024

ROE 12.6%	**ROCE** 20.4%	**Net Profit Margin** 5.0%
D/E 0.0	**Revenue CAGR 5yr** 20.5%	**FCF (Cr)** 278









Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Debt-to-equity ratio of 0.04 is elevated for a non-financial company and warrants monitoring

Capital Allocation: Shareholder Returns